

COURSE TOPICS

Starters

SEBI Categorisation

Basic Terms

Mutual Funds Types

Main Course

How to Shortlist Mutual Fund Schemes

Creating your Portfolio

Monitoring Portfolio

When to sell Mutual Fund?

Taxation

Desserts

Less-known facts on Mutual Funds

Knowledge vs Temperament

3 SECRETS OF MUTUAL FUNDS

Secret 1: You can ignore risk parameters of mutual fund schemes while shortlisting.

Secret 2: Looking at past performance of a scheme beyond 10 years is meaningless.

Secret 3: Very few Fund Managers invest their own money in the funds they manage.

Some image to be put like keys or secret to a treasure

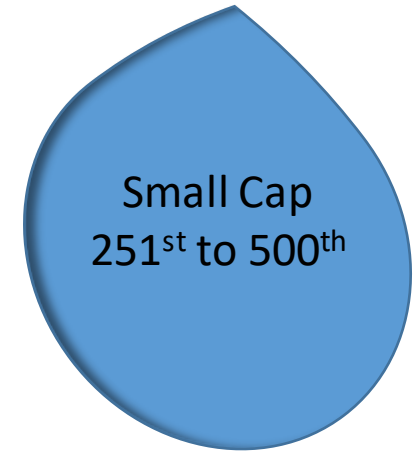
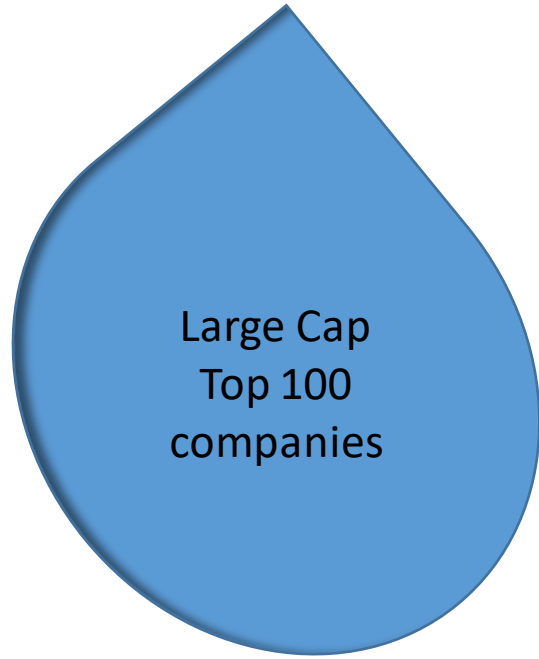
STARTERS

SEBI Categorisation

Basic Terms

Mutual Funds Types

SEBI CATEGORISATION BY MARKET CAP



SEBI CATEGORISATION BY MARKET CAP

- Fund = Scheme = Mutual Fund Scheme = Mutual Funds
- AMC (Asset Management Company) = Fund House = Mutual Fund Company
 - 40+ AMCs in India
 - Examples: HDFC, Aditya Birla, SBI, ICICI Prudential, Kotak etc.
- Benchmark / Index
 - Sensex, Nifty50, Nifty 100, Nifty Next 50, Nifty Midcap, Banking, Infra, IT, Pharma, Auto etc.
 - Why do we need benchmark?
- ✓ Grouping for analysis
- ✓ Performance measurement
 - Every Mutual Fund Scheme has a benchmark, against which its performance can be measured.
 - TRE (Total Return Index)
- ✓ Includes returns made by reinvesting the dividend income
- ✓ NIFTY 50 TRI, BSE Sensex TRI, NIFTY 100 TRI, BSE 150 Midcap TRI etc.

BASIC TERMINOLOGIES

NAV (Net Asset Value)

Price at which you can buy units from the fund house or sell it back to them.

➤ Reported daily after market closes

Video mint source nav

TYPES OF MUTUAL FUNDS

Based on Scheme

- Open Ended
 - ✓ Buy and sell on any working day
- Closed Ended
 - ✓ Issues fixed number of units
 - ✓ Traded in market but illiquid
 - ✓ Funds with “Series” in their name
- Interval
 - ✓ Open for specified time period for buying/selling
 - ✓ Funds with “Series” in their name

TYPES OF MUTUAL FUNDS

Based on Fund Management

- Passive
 - ✓ Follows a market index
 - ✓ Also called Index Funds
 - ✓ Examples: HDFC Nifty Index Fund
- Active
 - ✓ Fund manager actively picks stocks based on research
 - ✓ Charges are much higher than Passive schemes
 - ✓ AMC says: Instead of investing in the Index Fund, invest with us- we will give you better returns

TYPES OF MUTUAL FUNDS

Based on Type of Plans

- Growth Plan
 - ✓ Only capital gains
- Dividend Plan
 - ✓ Gains in the form of Dividends and Capital Gains
 - ✓ Dividends are neither fixed nor guaranteed
- Dividend Re-Investment plan
 - ✓ Scheme declares dividends but re-invests
 - ✓ Very few schemes have this option

Main Course

How to Shortlist Mutual
Fund Schemes

Shortlisting Schemes

Creating your Portfolio

Monitoring Portfolio

When to sell Mutual
Fund?

Taxation

TOOLS TO SHORTLIST MUTUAL FUNDS

1. Portfolio Turnover Ratio

- The percentage of Mutual Fund scheme's portfolio that has changed in a year.
 - Examples:
 - ✓ HDFC Top 100 Fund
 - ✓ Nippon India Multi Cap Fund
- High Turnover Ratio
 - Reflects lack of conviction of the Fund Manager
 - Shows bias towards momentum approach
 - Leads to high charges (expense ratio)
- Low Turnover Ratio
 - It is not to be looked in isolation

TOOLS TO SHORTLIST MUTUAL FUNDS

2. Total Expense Ratio

- The annualized charges incurred by an investor by investing in a mutual fund.
 - The daily Net Asset Values (NAV) of a scheme are reported after deducting these expenses
- Examples: Let's say expense ratio is 2% and you invested at Rs.100
 - This means over the next one year, Rs. 2 will be deducted.
 - Thereby, you will be left with Rs. 98 after one year (assuming market is at same level).
- Expense ratio is **deducted every day**
 - $2\% \div 250 = 0.008\%$
 - Let's say the AUM of the scheme is Rs.1000 Crores.
 - 0.008% of Rs.1000 Crores is Rs.8 Lacs
 - After deducting Rs.8 Lacs, the NAV of the scheme will be calculated
- Low Turnover Ratio
 - It is not to be looked in isolation

TOOLS TO SHORTLIST MUTUAL FUNDS

2. Total Expense Ratio

- Examples:
 - ✓ HDFC Top 100 Fund
 - ✓ Nippon India Multi Cap Fund
- These charges includes
 - Salaries of fund management team
 - Agent/distributor commissions
 - Legal & audit fees
 - Selling & promotion expenses
 - Other operational expenses

Lower the better

TOOLS TO SHORTLIST MUTUAL FUNDS

2. Total Expense Ratio

- Regular vs. Direct Plans
 - You buy Regular plan when you deal with an advisor, broker, agent or distributor (MFD).
 - ✓ Even your bank and brokerage house is a distributor
 - ✓ TER is higher as about 1% commission goes to the intermediary (per annum)
- Direct plans can be bought directly from the fund house or through various other platforms
 - ✓ Example: Aditya Birla Frontline Equity Fund
- Regular vs. Direct in property deals

	Regular Plan	Direct Plan
Monthly SIP	Rs. 25000	Rs. 25000
Investment Tenure	30 years	30 years
Annualised returns	12%	13%
Final Corpus	Rs 7.7 crores	Rs. 9.4 crores
Outperformance by direct plan	Rs 1.70 crores	

TOOLS TO SHORTLIST MUTUAL FUNDS

2. Total Expense Ratio

- Opt for Regular Plan when you need:
 - ✓ Advice on creating and monitoring the portfolio.
 - ✓ Support in back-end operational work

Do not invest in Direct Plan just for the sake of saving 1%

Be sure that you will be able to devote time and energy to monitor your portfolio

Penny Wise, Pound Foolish as they say.

TOOLS TO SHORTLIST MUTUAL FUNDS

3. Size of the Fund i.e. AUM

- AUM(Assets Under Management) can change because of 2 reasons
 - Investment/ Withdrawal by investors
 - Change in price of stocks in the scheme
- A scheme cannot invest more than 10% in a single stock
- Good performance of a scheme leads to more inflows from investors
 - This makes the Fund Manager's task tough, especially in midcap and small cap schemes
 - ✓ With more inflows, the fund manager has to invest in low quality stocks
 - ✓ Not easy to buy and sell huge quantity in small cap schemes
- Examples
 - SBI Small Cap Fund
 - HDFC Small Cap Fund

TOOLS TO SHORTLIST MUTUAL FUNDS

3. Size of the Fund i.e. AUM

- Minimum AUM size for all categories: Rs 1,000 Crores
- Maximum AUM size for Large Cap Funds: Rs 16,000 Crores
- Maximum AUM size for Mid Cap Funds: Rs 12,000 Crores
- Maximum AUM size for Small Cap Funds: Rs 9,000 Crores

TOOLS TO SHORTLIST MUTUAL FUNDS

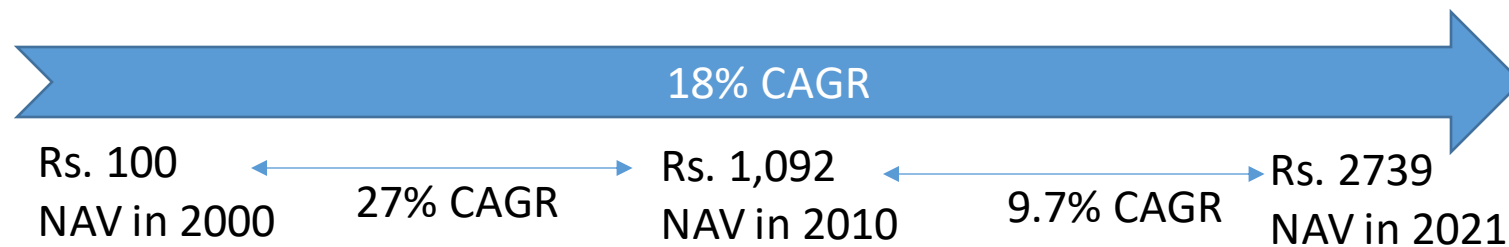
4. Number of Stocks

Lower the better

TOOLS TO SHORTLIST MUTUAL FUNDS

5. Past Performance

- Returns
 - Always compare returns with Benchmark and Category
 - Standard performance has no value
- Minimum 5 years of existence of the fund.
- Do not look at returns since inception for funds launched more than 10 years back
 - DSP Top 100 Equity Fund



TOOLS TO SHORTLIST MUTUAL FUNDS

5. Past Performance

- Returns
 - Look at last 5 years return
 - Why not 1 & 3 years?
 - ✓ Last one year return can make it biased

When you choose Mutual Funds over Stocks, do you expect low volatility?

- Comparing past performance of a Stock and a Mutual Fund scheme is very different
 - In stocks, I can look at the company's fundamentals and take a call
 - In mutual funds, I **cannot** look at the "average" fundamentals of 40/50/60/70 stocks
 - ✓ Moreover, the portfolio composition of a scheme keeps changing almost every month

TOOLS TO SHORTLIST MUTUAL FUNDS

6. Fund Manager

- The person responsible for taking investment decisions for a mutual fund scheme
- 3 things to check:
 1. Skin-in-the-game
 - Check investment done by:
 - ✓ Key Managerial Personnel
 - ✓ Fund Manager
 - ✓ AMC Board of Directors
 - Above details to be found in Scheme Information Document (SID)

Keywords:

- Key Managerial; Aggregate Investment by/in (Nippon india focused equity dfund hdfc top 100, sbi bluechip
- Managing the Scheme

2. Performance

3. Retention

CREATING YOUR PORTFOLIO

- Returns expectations
- Number of funds in the portfolio
 - Maximum 4, ideally 3 (apart from tax saving schemes)
 - 50% each if investing in 2 schemes of same category
- SIP vs. Lumpsum – which is better?
 - There is no right answer, in terms of return expectation
 - SIP is more about discipline
 - Lumpsum may addict you towards “timing the market”
 - ✓ To avoid this, do SIP preferably and spread your lumpsum over a few weeks/months
- What about March/April 2020 type situations?

CREATING YOUR PORTFOLIO

“Why” avoid these categories

- Sectoral Funds: Minimum 80% of total assets into that particular sector
 - Do you know the sector well?
 - Fund house will never say “this sector may not perform well. So we are closing the scheme.”
 - Simply buy stocks in that particular sector.
- Dividend Yield Funds & Thematic Funds

MONITOR YOUR PORTFOLIO

- Buy & Forget?
 - Forgot the money, not the portfolio
- Step 1: Every year, create a new table for the category
- Step 2: If an existing scheme is underperforming compared to peers,
 - If it is not in top quartile, stop your SIP and plan the exit strategy
 - Hold if it is in top quartile but not in top 3 schemes
 - Do not increase the number of active investments to more than 4 schemes at a time
 - Do not increase the total number of schemes to more than 6 schemes at any given time
 - ✓ That is 3-4 schemes in Buy category and 2-3 schemes in Hold category
- Step 3: If the Fund Manager has changed for your existing schemes
 - You may continue with the investment or put on Hold
 - Do not increase the investment just because the fund manager looks promising
 - Do not sell just because the fund manager is new

WHEN TO SELL?

- Selling decision is not about strategy, rather about psychology
- Typical actions: Sell those in profits and hold on to the losers
- Frequently Asked Questions
 - *"I made good money in a scheme, should I book profits "*
 - ✓ Consider this
 - ✓ You are investing today in a scheme which has been performing well since last 5 years
 - ✓ Should the investor who bought it 5 years back sell it?
 - *"Should I sell an underperforming fund?"*
 - *"How should I sell – in a staggered manner or in one shot? "*
 - ✓ Consider SWP (Systematic Withdrawal Plan)

TAXATION

Short-term
Capital Gain

Less than 1 year -15%

Long-term
Capital Gain

More than 1 year -10%
(above Rs 1 Lac)

Tax on
Dividends

As per Income Tax Slab

Growth Vs Dividend Schemes

LESS-KNOWN FACTS ON MUTUAL FUNDS

- Exit Load
 - Fee charged by the AMC when you exit your investments
 - Examples: Axis Mid Cap, SBI Small Cap
 - Exception: Parag Parikh Long Term Equity Fund
- You can shift your investment from Regular to Direct Plans
 - It is considered to be a redemption
 - Hence, exit load and capital gains taxes will apply.
 - Contact the AMC or do it through an online platform
- Why not NFO (New Fund Offer)
 - No track record
 - Many other good options available
 - Expense ratio is very high
 - Note: NFO does not necessarily mean that the Fund Manager is new

JUST TELL ME WHAT TO DO

- Case 1: Do you want to delegate your investments completely?
 - Yes: Go with MFDs
 - But do monitor once a year and ask relevant questions to your advisor/agent
- Case 3: Do you want to manage your investments yourself?
 - Use Online Platforms to buy
 - But do a third party yearly check of your portfolio through an advisor

KNOWLEDGE VS. TEMPERAMENT

- You will never have a perfect portfolio – stop chasing one!
 - It is ok to lose opportunities and to make mistakes
 - When best brains(fund managers) cannot ensure best performance every year, how can we expect to have the best schemes in our portfolio?
- Mutual Fund investments are subject to...
 - Investor's Temperament Risk.
 - What did you do in March/April 2020?
- More than how much you invest, it is how long you invest for
- Monitoring and selling decisions are tougher than shortlisting
 - Keep your portfolio as simple as possible

LEARNING OUTCOME

- SEBI categorization
 - Large Cap: 1-100
 - Mid Cap: 101-250
 - Small Cap: 251 onwards
- Parameters to shortlist Mutual Fund schemes
 - Turnover Ratio: lower the better
 - Total Expense Ratio (TER): lower the better
 - Size of the Fund
 - Number of Stocks: lower the better
 - Past Performance
- Shortlisting Mutual Fund Scheme
 - Build a portfolio with appropriate allocation between Large Cap Mid Cap and Small Cap Funds

LEARNING OUTCOME

- Creating your portfolio
 - Maximum 4, ideally 3 (apart from tax saving schemes)
 - 50% each if investing in 2 schemes of same category
- Monitor your portfolio and When to Sell
 - Review your portfolio once a year
 - If it is not in top quartile, stop your SIP and plan the exit strategy
 - Hold if it is in top quartile but not in top 3 schemes
 - Do not increase the investment just because the fund manager looks promising
 - Do not sell just because the fund manager is new
- Taxation
- Keep Booking LTCG of Rs 1 Lacs

OUTCOME OF THIS WORKSHOP

Congratulations!!!

You are in the **TOP 1%** of the Mutual Fund Investors in India.

End of Program

A big

THANK YOU